

The Ice Vending Machine Business

Frozen water that clocks in 24/7 and never asks for a paycheck.

What It Is

A self-service ice vending machine business. You install automated machines that make, store, and dispense bagged or bulk ice around the clock with no staff on site. Customers feed cash or tap a card and walk away with fresh ice — perfect for hot climates, coolers, parties, fishing, and tailgates. It's a near-passive, location-driven cash machine.

How It Makes Money

The machine sells ice 24/7 with almost no labor. Your only real costs are water, electricity, the bags, and rent for the small footprint. Demand spikes every time it's hot. Buyers are everyday people at gas stations, marinas, campgrounds, parks, and event sites — anywhere with foot traffic and no convenient ice nearby.

Startup Costs

- Commercial ice vending machine (Kooler Ice / IM600-style, new): \$20,000–\$45,000
- Used / refurbished machine: \$8,000–\$18,000
- Site prep — concrete pad, water line, 220V electrical: \$1,500–\$5,000
- Permits, business license, LLC: \$200–\$800
- Plumbing & install labor: \$1,000–\$3,000
- Signage and card-reader (Nayax/credit): \$300–\$700
- Total to launch one machine: **\$11,000–\$50,000** (used unit keeps you near the low end)

The Numbers

Ice costs roughly **\$0.30–\$0.50 to produce per 16–20 lb bag** (water + power + bag). It sells for **\$2.50–\$4.00 per bag**, a profit of about **\$2.00–\$3.50 per sale**. A well-placed machine in a hot market moves **80–200 bags/day** in season. At 120 bags/day × \$2.75 profit = **~\$330/day**, or roughly **\$9,000–\$10,000/month** at peak. Off-season dips, so a realistic year-round average is **\$3,000–\$6,000/month net per machine** after utilities and rent.

How To Start

1. Scout high-traffic, hot-weather locations with no nearby ice — gas stations, marinas, RV parks, beaches.
2. Lock a land-lease deal with the property owner (flat rent or small revenue share).
3. Buy a machine — start with one refurbished unit to prove the location before scaling.
4. Handle permits, water hookup, 220V power, and a concrete pad.
5. Install a card reader plus cash so you capture every sale and get usage data.
6. Brand the machine with bright signage and your bag price.
7. Track daily vends for 60 days, then reinvest profits into machine #2 in a new hot spot.

Where To Get Customers

Location IS your marketing — pick spots people already pass with a need for ice. Add a Google Business listing so "ice near me" searches find your machine. Partner with nearby campgrounds, bait shops, and event venues to point customers to it. Once you have several units, a simple branded wrap turns each machine into its own billboard.

Pro Tips

- **Location beats the machine.** A mediocre machine in a great hot-traffic spot crushes a premium machine in a dead one — secure the site first.
- **Buy refurbished to prove the spot,** then upgrade. Don't sink \$40k into an unproven location.
- **Add card payment.** Cash-only caps your sales and gives you no data; tap-to-pay lifts volume and shows you exactly when demand peaks.